

# Without a Job

## MINISTRY OF LABOUR AND EMPLOYMENT

Staff: 9,067

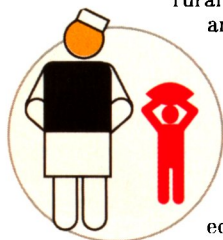
Wages and allowances: Rs 169.48 crore

Total plan and non-plan expenditure: Rs 1,633.48 crore

**RATIONALE:** To devise policy and legislation for labour concerning health, safety and welfare of workers; compile statistics; oversee labour courts and tribunals.

**REALITY CHECK:** Barely 5 per cent of the working population of 459 million enjoys the patronage of this ministry. The rest are outside the purview of the laws the Labour Ministry ostensibly implements. Fact is it can do little as long as the powers to change labour laws are vested in state governments.

Every statistic on labour paints a depressing picture of the inability of the ministry to reform the laws. The NSSO recently revealed that 17 per cent of the labour force in rural areas and 45 per cent in urban areas were not usually employed.



Worse, the unemployment rate among the educated (secondary school and above) was higher than that among those whose education level was lower. The inability of the ministry to tune the laws to the needs of a modern economy has delivered these

numbers. It could act as the motivator and get states to amend laws so that more jobs could be created. But successive ministers are unconvinced. Even where it can make a difference, say in promoting skills training, the ministry has been a miserable failure.

Last year, the Government announced that 500 ITIs in the country would be converted into centres of excellence. A FICCI survey reveals that in a majority of ITIs, unutilised seats are as high as 35 per cent. Obviously because the courses offered are not worth the time and anyway "a disproportionately large amount of funds" was allocated to salaries. Despite this, the ministry has been resisting a joint initiative of the Ministry of Finance and Commerce Ministry to allow industry chambers to adopt these ITIs. It claims to look after the health of workers, but reality is shocking. Employees depend on ESI hospitals, where 14,800 posts are vacant, including 1,500 of doctors. As for the courts and tribunals, they need to be housed in the Law Ministry.

## THE HISTORY OF ADM

**1866:** Report on Civil Establishments and Salaries by Rickett.

**1946:** Tottenham Report on the Reorganisation of Central Government.

**1949:** Report by N. Gopalaswami Ayyangar on Reorganisation of the Government Machinery. The report looked at grouping Central ministries into four bureaux.

**1950:** Report on Public Administration and Report on Efficient Conduct of State Enterprises by A.D. Gorawala.

**1952:** Machinery of Government: Improvement of Efficiency by R.A. Gopalaswami was treated as confidential and never released.



**1953 and 1956:** Paul H. Appleby, an American expert on public administration, made 12 recommendations.

**1954:** O&M Division was set up for administrative improvement. In 1964, the division was merged with the Department of Administrative Reforms located in the Cabinet Secretariat to function under the PM.

**1962:** V.T. Krishnamachari Report recommended expan-

sion of IAS to meet the needs of economic and social development, coordination of elective and administrative elements, coordination of administrative and technical services and promotion of the cooperative movement and community development programme.

**1964:** Santhanam Committee observed that in a regulated economy, the excessive role of government and discretionary powers with administration promote corruption. It recommended setting up of a Central vigilance commission and a code of conduct for ministers on par with the chief ministers of all states.



**1966:** ARC headed by Morarji Desai (later followed up by K. Hanumanthaiya) made 500 recommendations in its report. The ARC set up 20 study teams, 13 working groups and a task force. It submitted 20 reports, making a total of 581 recommendations in a period spread over 1966-70.

**1976:** D.S. Kothari Committee on Recruitment Policy and Selection Methods 1976.

**1983:** L.K. Jha Economic Administrative

